CASCADIA ANALYTICS

Mitek Systems

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Identity Scale Meets Legacy Friction

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Mitek Systems presents a structural transition where rapid expansion in cloud identity verification competes directly against the drag of mature mobile deposit check volumes. While recent quarterly results highlight record adjusted EBITDA margins and successful debt elimination, top-line deceleration and gross margin compression temper intermediate upside. The current valuation embeds optimistic execution, leaving risk-reward balanced at prevailing market levels. We initiate coverage with a Hold rating and a probability-weighted blended price target of $17.49, representing -5.3% upside.

HOLD	$17.49	-5.3%	$18.46
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The broader market remains fixated on quarterly headline swings in check processing volumes and lumpiness in multi-year license renewals. In contrast, the multi-year compounding reality depends on operating leverage within Fraud and Identity and sustainable cash generation across regulated enterprise accounts.

Executive summary

Mitek Systems operates as an identity verification and mobile check deposit software vendor selling to banks, insurers, and other regulated firms. The core business has historically rested upon proprietary mobile check capture algorithms that became the standard infrastructure for

institutional deposit workflows. Over recent years, management has navigated an intentional pivot toward fraud prevention and digital identity authentication, seeking to transform legacy transactional relationships into recurring cloud software relationships.

The evidentiary record across recent quarters underscores both the strengths and the inherent frictions of this business model evolution. In Q2 FY2026, the company posted record revenue of $54.8M, up 6% year over year, driven by Fraud and Identity growing 28% to $25.7M. Non-GAAP operating expenses declined from $25.7M to $24.8M, pushing adjusted EBITDA margin to a record 40.7%. However, Check Verification revenue contracted 8% to $29.1M, and non-GAAP gross margin contracted 270 basis points to 85.0% under SaaS infrastructure delivery costs and Check Fraud Defender pilot expenses. This followed Q1 FY2026, where revenue surged 19% to $44.2M, Fraud and Identity expanded 30% to $25.5M, and GAAP net income reached $2.8M, contrasting with a loss of $4.6M in the prior-year period.

Capital allocation and balance sheet health have reached an important inflection point. On February 1, 2026, during Q1 FY2026, Mitek Systems repaid its $155M convertible notes in full, significantly de-risking the corporate financial structure. Cash and investments stood at $77.6M at the end of Q2 FY2026 following this settlement, down from $196.5M at the close of FY2025 and $175.4M in Q3 FY2025. With total debt of $155.2M recorded at the conclusion of FY2025 now cleared, the board authorized a new $50M share repurchase program, demonstrating confidence in structural free cash flow generation, which reached $54.2M in FY2025.

Operational snapshot

$18.46	$179.7M	$54.2M	30.2%	0.98	$18.46
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-29.

The moat is Embedded and Defensible

Mitek Systems maintains deep operational moats derived from mission-critical integration within core banking architectures. For regulated tier-one financial institutions and regional lenders, the mobile check deposit engine represents an embedded layer of customer-facing infrastructure. The switching costs associated with replacing this software are exceptionally high, as core financial processing systems require strict uptime, regulatory compliance, and near-zero error rates. These dynamics allow Mitek Systems to command high historical gross margins, demonstrated by an 85.1% gross margin in FY2025.

The regulatory scrutiny applied to banks, insurers, and other regulated firms acts as a substantial barrier to entry for prospective competitors. Enterprise risk officers require proven audit trails, verified fraud mitigation statistics, and demonstrated compliance before authorizing

customer verification integrations. By leveraging its established check deposit relationships, Mitek Systems secures a trusted channel to cross-sell its Fraud and Identity solutions, shielding the business from displacement by unproven software alternatives.

Pricing power manifests distinctly across the two operational divisions. Within Check Verification, pricing power is constrained by overall check volume trends, yet protected by long-term enterprise licensing structures. In Fraud and Identity, pricing power is tied to value realization, where solutions like Check Fraud Defender and automated identity verification reduce institutional losses from sophisticated fraud schemes. However, as evidenced in Q2 FY2026 when non-GAAP gross margin declined 270 basis points to 85.0%, cloud hosting costs and pilot implementations introduce delivery expenses that cap incremental margin expansion.

Valuation

Three scenarios make the valuation range explicit

Our valuation framework evaluates Mitek Systems across a forecast window from FY2026 to FY2030, capturing the shifting mix from check verification to recurring identity authentication. The base case scenario models a 9.0% revenue compound annual growth rate through FY2030, paired with a normalized target free cash flow margin of 23.6% in the terminal forecast period. This trajectory reflects steady SaaS identity expansion that gradually outpaces the mature check verification portfolio, supported by operating discipline across corporate overhead.

In our downside scenario, we project a 5.0% revenue compound annual growth rate and a 23.0% target free cash flow margin, accounting for protracted check decay and pricing pressure from enterprise buyers. Conversely, the upside scenario models an accelerated 12.0% revenue compound annual growth rate and a 25.4% target free cash flow margin, assuming high enterprise conversion for Check Fraud Defender and sustained SaaS growth above 25%. Applying a 2.5% terminal growth rate and discounting cash flows at our 9.77% discount rate yields our discrete case equity values.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	5.0%	23.0%	$14.30	-22.5%
Base	50%	9.0%	23.6%	$17.25	-6.6%
Bull	25%	12.0%	25.4%	$21.15	+14.6%

Bear $14.30

Check Verification contraction accelerates beyond the 8% decline observed in Q2 FY2026

Base $17.25

Fraud and Identity continues to expand at a sustainable double-digit pace, balancing ongoing

Bull $21.15

The identity verification portfolio compounds at a 12.0% annual pace as SaaS adoption deepens among

while term-license renewal lumpiness dampens enterprise commitments. SaaS gross margin dilution intensifies as pilot programs fail to scale efficiently, driving normalized free cash flow margins down to 23.0% alongside a 5.0% top-line compound annual growth rate.

structural declines in the Check segment. Operating leverage remains consistent with recent guidance, delivering a 9.0% revenue compound annual growth rate and a normalized 23.6% free cash flow margin across the 48.6 million diluted shares in the model.

core banking clients. Check Fraud Defender achieves rapid commercial scaling, mitigating legacy attrition and driving adjusted EBITDA margins and target free cash flow margins toward 25.4%.

Valuation framework

A live discount rate, not a static hurdle

We evaluate corporate cost of capital through a fundamental lens rather than arbitrary corporate hurdles. Our model employs a weighted average cost of capital of 9.77%, anchored by an equity beta input of 0.98. This reflects the market profile of Mitek Systems, combining non-cyclical recurring revenues from regulated financial institutions with the operational volatility of software business transitions.

The 9.77% discount rate accounts for the completed retirement of the $155M convertible notes, which previously distorted the capital structure. By settling these notes on February 1, 2026, the company shifted from a net debt position of $1.0M at the end of FY2025 to a debt-free balance sheet holding $77.6M in cash and investments at the end of Q2 FY2026. This capital derisking reduces structural financial distress risks, though equity holders continue to bear execution risk surrounding software mix shift.

FCF margin normalization is the engine

Free cash flow conversion represents the primary driver of equity value across our five-year projection horizon. In FY2025, Mitek Systems generated $54.2M in free cash flow on $179.7M of revenue, achieving a 30.2% free cash flow margin, up 79% from $30.3M in FY2024. This performance was supported by strong working capital dynamics and cash collections heading into debt retirement.

Over the forecast window to FY2030, we normalize free cash flow margins toward 23.6% in our base case, down from FY2025 peak levels. This normalization reflects the higher continuous infrastructure requirements of hosting multi-tenant SaaS environments, ongoing product investments following the 36% research and development surge in Q4 FY2025, and normalized working capital movements, ensuring our terminal valuation avoids capitalizing unsustainable cash spikes.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

> **Methodology.** Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2030**
Live WACC	**9.77% (2026-10-29)**
Terminal growth	**2.5%**
Equity beta	**0.98**
Diluted shares	**48.6 million**

HOLD

over $17.49 blended target

Competitive moat and concentration risk

We rate the moat as Narrow and we view the market structure as Fragmented identity-verification market; niche leader in mobile deposit. We assign a premium of +5% to sector median multiples on moat strength alone.

- embedded switching costs in bank integrations, Mobile Deposit at ~7,900 FIs plus SaaS identity revenue growth of 23% in Q3 FY2025 (29% in Q1 FY2025) and 85.0% non-GAAP gross margin in Q3 FY2025 (DCFModeling, citing company data).
- the 85.0% non-GAAP gross margin (Q3 FY2025, DCFModeling) and adjusted EBITDA margin expansion from 28% to 38% with 18% YoY revenue growth (Seeking Alpha, 24 Sep 2026, via TickerNerd) show software economics, but the same coverage notes tiered-pricing pressure from competitors (DCFModeling), i.e., pricing is defended by product, not dictated by market power. FY2025 revenue guidance was only $174-177m (tightened Aug.
- The weakest element is the core niche is structurally declining, "the use of checks will eventually disappear almost entirely, replaced by digital payments" (Nasdaq, 2021), compounded by the long-running USAA patent dispute, in which USAA won two judgments against Wells Fargo totalling over $300m and then targeted PNC (Nasdaq, 2021), an overhang on Mitek's customer base rather than on Mitek directly.

On a multiple cross-check, the justified range is EV/EBITDA 9.8-10.7×; P/E 13.0-14.3×. The cross-check value is $15.52 vs Base $17.41 (−11%); vs spot $18.41 (−16%), on a base of Framework base from the October 27 moat report. The gap verdict is Not at all; market pays more than moat justifies (spot P/E 15.4× vs 13.0×).

We have no disclosed backlog figure for this company, so backlog gives no support to the growth path here.

We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score
customer concentration	8 points
counterparty credit and funding dependence	1 points
single product, single program, or single platform dependency	4 points
single supplier, single fab, or single geography exposure	1 points
platform, channel, or distribution dependency	4 points
customer insourcing risk	4 points
regulatory single point risk	4 points

The combined discount is 20 percent, capped at 20 percent, against an uncapped total of 26 percent. Shown side by side with the moat premium or discount, the net stance is -15 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. Not at all

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Business & segment drivers

Revenue prospects anchor on Fraud and Identity Expansion and Legacy Check Management HOLD

The primary growth engine for Mitek Systems is the Fraud and Identity business, which reached $25.7M in Q2 FY2026, expanding 28% year over year and approaching half of total corporate revenue. In Q1 FY2026, this segment generated $25.5M, up 30% year over year, representing approximately 58% of total revenue. Within this segment, SaaS revenue reached $20.0M in Q2 FY2026, up 19% year over year, following a 21% jump to $22.2M in Q1 FY2026. Regulated entities increasingly require automated biometric verification and identity document authentication to prevent account takeover and onboarding fraud.

Conversely, the Check Verification segment remains a substantial cash generator but an undeniable operational drag. Check revenue totaled $89.8M in FY2025, down 4.6% year over year. In Q1 FY2026, check revenue stood at $18.8M, accounting for approximately 42% of revenue, before rebounding sequentially to $29.1M in Q2 FY2026 due to renewal timing. Despite the sequential dollar increase, Q2 FY2026 check revenue fell 8% year over year. The lumpiness of multi-year term licenses creates quarterly revenue swings that complicate visibility.

Management raised full-year FY2026 revenue guidance from an initial range of $187-197M in Q1 FY2026 to $189-198M in Q2 FY2026, having originally guided to approximately $190M at the end of FY2025. While positive, the midpoint of the revised guidance implies deceleration to single-digit growth for the back half of the fiscal year following 19% growth in Q1 and 6% growth in Q2. Operating discipline remains intact, as non-GAAP operating expenses decreased to $24.8M in Q2 FY2026 from $25.7M a year ago, supporting the record 40.7% adjusted EBITDA margin.

What to monitor

- **Fraud and Identity SaaS momentum** as the core benchmark for digital business transformation, building upon the $20.0M generated in Q2 FY2026 and $22.2M in Q1 FY2026
- **Check Verification renewal timing** to evaluate whether segment contraction stabilizes beyond the 8% year-over-year decline recorded in Q2 FY2026
- **Gross margin trajectory** to observe whether non-GAAP gross margin stabilizes after falling 270 basis points to 85.0% in Q2 FY2026 under SaaS hosting and pilot costs
- **Capital allocation deployment** under the newly authorized $50M share repurchase program following the successful retirement of the $155M convertible debt

+4.4%	85.1%	9.8%	30.2%	$1.0M	3.7%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$179.7M
Gross Profit	$152.9M
EBIT	$17.6M
Net Income	$8.8M
EBITDA	$36.8M
Free Cash Flow	$54.2M
Diluted EPS	$0.19
ROE	3.7%

Risk & moat matrix

The bear case

SHARE EROSION

Intense competition across digital identity verification could impede software expansion as specialized vendors target banking workflows. If enterprise conversion slows, top-line growth could compress toward our

M&A DIGESTION

Past technology integrations require continued technical harmonization across legacy platforms. Ineffective engineering coordination could elevate operating expenses and erode the corporate operating margin from its 9.8% FY2025 level.

REGULATORY AND PRICING SCRUTINY

Regulatory frameworks governing biometric verification and consumer privacy could impose higher compliance overhead across tier-one banking deployments. Heightened enterprise vendor scrutiny may also limit contract pricing flexibility during multi-year renewals.

TECHNOLOGY DISRUPTION

Rapid advances in identity fraud techniques could outpace legacy algorithms, necessitating sustained research and development increases similar to the 36% R&D surge in Q4 FY2025. Inability to maintain detection superiority would threaten renewal rates.

REINVESTMENT TREADMILL

Expanding the Fraud and Identity segment requires ongoing capital commitments toward cloud infrastructure and pilot programs like Check Fraud Defender. These pilot costs contributed to a 270 basis point drop in non-GAAP gross margins in Q2 FY2026.

WACC AND DURATION SENSITIVITY

With a spot price of $18.46 and a P/E multiple of 97.2x based on FY2025 diluted EPS of $0.19, equity valuation is highly sensitive to the 9.77% discount rate. Any market demand for higher risk premiums would compress the terminal value multiple.

5.0% bear case CAGR.

The strengths

OLIGOPOLY POSITION

Mitek Systems commands an entrenched position in mobile deposit capture software across financial institutions, creating a dependable revenue base. This standard-setting technology provides an established springboard for identity solutions.

FCF COMPOUNDING

The enterprise business model demonstrated robust cash conversion in FY2025 by generating $54.2M in free cash flow, representing a 30.2% margin. This cash engine funded the complete payoff of $155M in convertible notes.

GEOGRAPHIC DURABILITY

Deep relationships with leading banks and insurers establish durable cross-selling corridors across domestic and international institutions. High institutional switching costs protect existing core contracts from displacement.

PIPELINE OPTIONALITY

New fraud intelligence capabilities, including Check Fraud Defender, offer incremental monetization opportunities within the existing base. Successful scaling could propel overall revenue growth toward our 12.0% bull case CAGR.

The bottom line on risk and reward

Mitek Systems has accomplished significant operational milestones over the past two quarters, marked by eliminating its $155M convertible debt, expanding Fraud and Identity revenue to $25.7M, and lifting adjusted EBITDA margins to 40.7% in Q2 FY2026. These achievements demonstrate that the strategic pivot toward recurring identity solutions possesses genuine operational substance and benefits from rigorous cost controls, as seen in non-GAAP OpEx declining to $24.8M.

Nonetheless, equity valuation at the reference price of $18.46 reflects these operational successes, trading at 5.0x FY2025 revenue and 24.4x FY2025 EBITDA. With full-year FY2026 guidance of $189-198M implying second-half growth moderation and gross margins compressing to 85.0%, near-term upside appears limited. Weighting our fundamental scenarios at 25% bear, 50% base, and 25% bull produces a blended target of $17.49, indicating -5.3% upside and justifying our Hold recommendation.

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Franchise deep dive

Mobile Check Deposit: Entrenched Core Software Across Regulated Banking

The foundation of Mitek Systems rests upon its mobile check deposit software, an embedded technology stack licensed by major financial institutions to enable digital check clearance. By transforming smartphone camera inputs into verified, bank-grade transaction data, the company became an essential partner to commercial banks seeking to lower branch processing expenses. This core franchise provided the operational foundation for FY2025 gross profit of $152.9M and an operating margin of 9.8%.

In recent years, the check deposit franchise has evolved from an active growth engine into a mature cash generation utility. In FY2025, the Check segment generated $89.8M, representing a 4.6% decline from the prior year. This trend continued into FY2026, where Check Verification revenue was $18.8M in Q1 before rising to $29.1M in Q2, though down 8% year over year. The revenue profile is governed by multi-year term licenses, which produce periodic renewal surges followed by quarters of lower transactional licensing.

To defend and extend this legacy asset, Mitek Systems introduced Check Fraud Defender, an advanced software layer designed to intercept check fraud across clearing networks. While Check Fraud Defender pilot costs contributed to gross margin compression in Q2 FY2026, the product represents a strategic bridge connecting traditional check processing with advanced fraud intelligence. Maintaining high client retention across check software remains essential to fund ongoing innovation in digital identity verification.

What the recent record shows

- Check segment revenue recorded $89.8M in FY2025, falling 4.6% year over year as digital payment alternatives continue to mature
- Q1 FY2026 Check Verification revenue stood at $18.8M, comprising approximately 42% of total corporate revenue
- Q2 FY2026 Check Verification revenue reached $29.1M, representing an 8% year-over-year decline due to term-license renewal timing
- Check Fraud Defender pilot programs and SaaS delivery costs contributed to non-GAAP gross margin declining 270 basis points to 85.0% in Q2 FY2026

> **Our read:** The check franchise continues to provide indispensable operating cash flows that successfully funded the retirement of the company's $155M debt obligations. However, structural volume contraction ensures that long-term enterprise valuation will be dictated by SaaS identity scaling rather than legacy deposit processing.